

But few seasoned investors approved such situations as developed in 1960–1962, when frenzied buying drove prices so high that some issues were selling for more than 100 times their per-share earnings. In more than a few instances during the 1960–1962 period, staggering prices were paid for the stocks of companies that had only negligible assets, questionable potentials—and that hadn't shown much in the way of profits for a considerable time.

It has been suggested that the boom that began in 1960 was caused by people buying stocks as a hedge against inflation. If this is true, the insane inflation of certain common-stock prices was an extremely odd way to go about it. But the hedge theory appears even less valid when one remembers that buyers consistently ignored many fine stocks that, by any standards of measurement, were *underpriced* and concentrated on certain issues, continuing to buy them after their prices had soared out of sight. All evidence inclines the observer to believe that the great mass of nonprofessional buyers was obeying a sort of herd instinct, following the crowd to snap up the popular issues without much regard for facts. Many people were doing their investment thinking—if it can properly be called that—with their emotions rather than with their heads. They looked for lightning-fast growth in stocks that were already priced higher than the limits of any genuine value levels to which they could conceivably grow in the foreseeable future.

It is an old Wall Street saw that the stock market will always find a reason for whatever it does—after having done it. Innumerable theories have been advanced to explain why the market broke on May 28, 1962. The blame has been placed on everything from “selling waves by foreign speculators” to the Kennedy Administration's reaction to the aborted steel industry price increase—in fact, on everything but the most obvious reasons.

The factors that bring on financial panics are many and varied. For example, in 1869, the cause was an attempted corner on gold. In 1873 and 1907, bank failures started the